

MHI: Emotional Weaknesses, Structural Harvesting & Second-Level Thinking

For Gary Leung. Day-session 1-minute scalps on Mini Hang Seng (MHI), TradingView linked to Interactive Brokers. Pre-open options walls + SG CBBC street inventory are a hedge map only (do not buy CBBC). A+ = bias + sweep/cause + absorption + explicit invalidation. TrueType Noto Sans TC embedded. Study notes, not a guarantee.

Core thesis: Weaknesses are not a new indicator — they are **who the other side is**. “Manipulation” = structure harvesting emotion (stops, CBBC calls, dealer hedging that needs liquidity). Second-level thinking: do not ask “what would I do” ; ask “where is liquidity being delivered.” The numbers tell you not to chase the open; emotion explains why the hand still wants to — FOMO / fear / impatience are failure modes of an otherwise decent checklist.

0. Why psychology and stats must be used together

The ~182-day sample already locks several mechanical facts: the opening range (09:15–09:45) averages about 204 points, ~57% of the full-day range, but with **no directional edge**; the 09:30 single minute averages ~88 points of range and ~2112 volume, and follow / fade over the next 15 minutes is about 68 / 65; the morning range is about 317 = ~85% of the day; afternoon breaks of AMH / AML are about 34% / 35% with expectancy near zero on both sides. If the checklist only memorizes numbers, the hand still fires on the 09:30 wide bar, the round-thousand fake break, or the first jump after a wall sweep — because that moment is driven by emotion, not by missing data.

Psychology alone also drifts: treating “I feel scared” as a signal means treating harvested emotion as an edge. You need **stats to lock the boundary, emotion to locate the counterparty**: stats say expectancy is poor here; emotion says most people will still err here; only then does second-level ask where liquidity is delivered and who is eating it.

Layer	Stats tell you	Psychology tells you	Combined use
Open	OR is large, no directional edge	Hand wants to “get on board first” = FOMO	Default flat; only read walls / stacks
09:30	Mid-range volume most days; follow / fade ≈ even	Impatience = “if I don’ t enter now it’ s gone”	No entry on the event bar; only adjust size
Fake break	Spring +0.17R (PF 1.44) beats cash 15m TORB −0.08R	Chase the break = 1st level; wait for reclaim = 2nd	Failed break → upthrust / spring
PM magnet	AMH / AML often attract in the afternoon; 1.33 SR rarely tagged	Greed wants “one more level”	Targets hug morning extremes; do not chase 1.33
Checklist failure	A+ conditions are objectively checkable	FOMO / fear / impatience make the hand skip ticks	Fast heartbeat = cut size or stand down — not “one more confirm bar”

One line that sticks: Stats are the map; emotion is why you leave the map. Harvesting mechanisms rely on your first-level reaction; A+ relies on asking the second-level question at the same location. Psychology’ s job is not to “feel better” — it explains **why a good checklist still fails at the open** — and writes that failure mode into IF / THEN.

1. Thesis: weakness = the other side

- **Weakness is not RSI, not an “emotion indicator.” Weakness = who must trade.** Retail stops, forced CBBC unwinds, and options-dealer hedges are all foreseeable liquidity sources.
- **“Manipulation” is not a conspiracy theory.** Structure (walls, stacks, round thousands, opening range) routes emotional orders to the same side; larger players / dealers absorb opposite or continue forced hedges. The sharp drop / spike you see is often emotional flow queuing — not “the house’ s mood.”
- **Second level:** First level asks “will I chase / will I panic” ; second level asks “if most people chase or panic now, which side gets the liquidity, and who is eating it.” You are trading the counterparty forced out by structure, not the pattern itself.
- **Hook into your playbook:** Pre-open two battlefields = pre-label “where emotion is most likely to explode” ; the A+ four-piece = confirm that post-explosion liquidity has been absorbed — not guess direction.

2. First level vs second level (comparison)

Context	1st level (harvested)	2nd level (your read)	A+ action
Open / OR	“Range is big — enter first, figure later”	204 pts is a range, not a direction license	Stay flat, draw OR; mark at most two walls / stacks
Breakout	Chase the instant ORH / round thousand breaks	Who is chasing? Is there absorption outside the wall?	Wait 3–8 bars; fail = fade as upthrust; holds = then follow
Flush sweeps stops	“It’s over — flatten / reverse”	Liquidity delivered to lows / highs; is the other side absorbing?	Sweep Put wall / bull-CBBC stack / ORL then reclaim = spring long
Your own fast heartbeat	Add to prove you’re right, or revenge reverse	Heartbeat = 1st-level alarm, not a signal	Halve size or stand down; re-read invalidation
09:30 wide bar	Follow the body direction	Mid-range volume most days; follow / fade $\approx$ 68 / 65	No entry; only affects today’s risk cap
Bull / bear CBBC slaughter running	Catch the bottom / top fade	Issuer hedge not finished = one-way liquidity	Follow forced hedge first; spring / upthrust only after stack clears + absorption

How to read: left column is what your body will do; middle asks about liquidity; right is when an order is allowed. Missing any column = still first level.

3. Human weaknesses → tape → your entry

Weakness	MHI 1m clue	A+ response
Impulsive	Market order on the first jump; stop can’t survive 8–15 pts of slip	Default wait for cause + absorption; no invalidation price = no trade
FOMO / urgency	Chase after ORH / round thousand breaks; bar already 40+ pts off structure	>40–60 pts off = late tax — skip; wait for retest or reverse upthrust
Greed	Still adding into call wall / bear-CBBC stack; target becomes 1.33 SR	Scale inside the wall; targets hug AMH / OR boundary; 1.33 rarely tagged
Fear	Market-sell on sweep of ORL / Put wall; won’t wait for reclaim	Pre-mark walls; 3–8 bars reclaim + absorption after sweep = spring; else flat
Hesitation	A+ is complete but still waiting for “one more confirm”; entry is already late	Checklist ticked → half-size probe; hesitate past two bars = abandon that setup
Holding / averaging	Adding outside invalidation to “average down”	Invalidation = out; averaging = a second new trade that needs its own A+
Impatience (09:30)	Immediately follow the cash-open wide bar	No entry on the event bar; mid-range volume → ignore direction; width only shrinks size

Practical link: FOMO and fear are two ends of the same liquidity pipe — one delivers buys at the breakout, one delivers sells at the stop sweep. Your job is not to erase emotion, but to **pre-mark the structures both ends will hit**, then enter only after absorption appears. That is where “psychology helps a lot”: it explains the miss; stats filter noise that has no structure.

4. How the market harvests (mechanisms + examples)

Mechanism	Emotional bait	Structural result	Sketch / anchor numbers
Fear sweeps stops → spring	“It broke — must keep falling”	Stop sells + forced bull-CBBC sells delivered low and absorbed	Sweep Put wall / bull-CBBC stack / ORL, then 3–8 bars reclaim. Spring sample $\sim$ +0.17R, PF 1.44
FOMO fake break → upthrust	“It broke — must trend”	Chase buys hit the wall, fail and reclaim	Break ORH / round thousand then fail. Cash 15m TORB $\sim$ -0.08R loses to waiting for spring / upthrust
Greed hits wall → climax then absorb	“One more level through”	After call / put wall short-gamma acceleration, longs / shorts exhaust	Volume at extremes, then no reclaim = suspected climax; wait for absorption before reversing
Hesitation late tax	“Just watch a bit more”	Entry already >40–60 pts off structure; R:R collapses	Skip; do not chase the first jump. Late is not “still OK” — it is a new bad trade
Averaging losers	“Average once and it’ll come back”	Adds outside invalidation turn a small loss into a large one	No averaging outside invalidation; second ticket needs its own A+
Impatience at 09:30	“The open must have a direction”	Mid-range volume most days; follow / fade $\approx$ even	09:30 avg range $\approx$ 88, vol $\approx$ 2112; follow 68 / fade 65; wide bar only affects size

Anchors ($\sim$ 182 days; no new numbers invented): OR $\approx$ 204 pts $\approx$ 57% of day range, no directional edge; morning range $\approx$ 317 $\approx$ 85% of day; afternoon break AMH / AML $\approx$ 34% / 35%, expectancy $\approx$ 0 both sides; afternoon magnets often AMH / AML; 1.33 SR rarely tagged. Spring beats blind breakout chase — that is the quantitative contrast of structural harvest vs first-level chase.

4.1 Log the harvest in one line

Per trade record only: **counterparty emotion** (fear / FOMO / greed / impatience) → **structure** (wall / stack / round thousand / OR) → **absorption** Y/N → **result in R**. If the “counterparty emotion” field is blank, you are probably the liquidity.

5. HSI-specific levers (mechanical, not mysticism)

- **CBBC bull / bear slaughter:** Price enters a stack and cannot hold → issuer must sell / buy futures, forming observable one-way forced flow. You do not buy CBBC, but pre-open you read SG street inventory and mark nearby stacks as one battlefield.
- **Options walls:** Dealer hedge paths can accelerate or cushion (short / long gamma). A wall = where inventory sits and which way hedge pressure pushes — not a forecast of up or down. Rising / falling IV only tunes “will the impulse accelerate” ; it does not grant direction alone.
- **Round thousands:** Round numbers attract stops and breakout tickets; fake-break odds are high — suited to upthrust / spring framing. When they overlap ORH / ORL, treat them as the first battlefield.
- **09:30 cash open:** One of the day’s largest efforts (avg range ≈ 88 , vol ≈ 2112); outcome is unsettled = an event, not an entry bell. Mid-range volume = ignore direction; only a hit on a pre-marked wall / stack enters the “forced hedge or spring” branch.

Operating order (locked): While forced hedging is running → follow the cut, do not fade. Stack clears, attack cannot punch through, tape absorbs → then spring (lows) or upthrust (highs). A structureless 09:30 body: treat as unseen. This matches emotion + stats: during bull-CBBC slaughter, first level wants to catch the bottom = fear / bottom-picking urge; both stats and mechanism say fade expectancy is poor then.

6. Second-level checklist (5 questions before entry)

- **Where is liquidity coming from?** Stop cascade, CBBC call, or chase beyond the wall? Am I eating or delivering?
- **Who is forced to trade?** Is bull / bear slaughter still running? Are options dealers chasing or unloading?
- **What is the first-level crowd doing right now?** Chasing the break, cutting, or hesitating? Is my plan deliberately opposite or delayed vs that?
- **Has absorption appeared?** 3–8 bars reclaim inside structure, attack volume shrinks, book no longer one-way? If not = no spring / upthrust.
- **Is invalidation written in stone?** No invalidation = no A+. Fast heartbeat or FOMO flare → cut size or stand down — not “one more confirm bar.”

All five must pass before a half-size probe is allowed. Any answer “unclear” = stay flat. These five turn psychology from a feeling into a checkable step.

7. How the morning plan locks second-level thinking

IF / THEN (only two layers): If my pre-marked level is swept (fear stops or chase FOMO) → **wait for reclaim** → then run A+ (bias + sweep / cause + absorption + invalidation); if my own FOMO / heartbeat jumps the gun → **do nothing**.

The morning template allows only two battlefields (wall / stack / round thousand, and within ~200 pts of the estimated open — because OR averages ~204). Treat a third as unseen. The direction field is a conditional (“if Put wall is swept then reclaimed → long”), never a naked “bullish / bearish.” Once both layers are locked, do not invent a third script mid-session — that is the doorway for impatience and FOMO.

8. Full scenario examples (illustrative)

SCENARIO A 09:38 spring after a fear wall sweep

Pre-open: mark Put wall / nearby bull-CBBC stack near ORL. 09:30 mid-range volume — ignore direction, only note high / low. 09:35–09:37 sweeps the pre-mark lower; 1m long lower wick or body pierces; then 3–6 bars reclaim inside the wall, volume shrinks, sell pressure no longer one-way.

1st level would: Market-sell on the sweep or reverse short.

2nd level: Fear tickets and forced sells have been delivered low. **A+:** Half-size long; invalidation = lose the reclaim bar’s low again; target hugs OR mid or first morning supply — do not chase 1.33. Echoes spring $\sim +0.17R$ / PF 1.44.

SCENARIO B FOMO breaks round thousand, fails → upthrust short

Price spikes through round thousand / ORH; chase is obvious. Hits pre-marked call wall or bear-CBBC stack and cannot hold; 5–8 bars reclaim under the round thousand; attack volume dies.

1st level would: Chase long at the break, or hard short immediately after with no absorption.

2nd level: FOMO liquidity is spent. **A+:** Half-size short; invalidation = strong reclaim back above the round thousand after the reclaim. Echoes the stats — blind breakout chase (cash-like 15m TORB $-0.08R$) has weaker expectancy than waiting for the failed break’s upthrust.

SCENARIO C 09:30 mid-OR — no trade

09:30 wide bar lands in the middle of the OR, hits neither pre-mark. Follow / fade $\sim 68 / 65$ — no edge.

1st level would: “Open is huge — just follow it.”

2nd level: No counterparty map = nothing to harvest. **Action:** Log OR high / low, shrink day’s risk; wait for post-09:45 home structure or a wall hit. Width only affects size — it does not license direction.

8.1 Compress the three scenarios into a decision tree

After the open, walk only one tree — avoid inventing scripts mid-session:

- 1. Did 09:30 hit one of the two pre-marks? **No** → Scenario C: no trade; only update OR.
- 2. **Yes**, and bull / bear slaughter still one-way? → Follow forced hedge; do not fade until the stack clears.
- 3. After stack clear or wall sweep, 3–8 bars reclaim + absorption? **Yes** → spring at lows (A) or upthrust at highs (B); half size + invalidation.
- 4. Already >40–60 pts off structure? → Late tax — skip; wait for the next structure; do not chase.
- 5. Your own FOMO / heartbeat? → The tree’s exit is always “no trade,” never “try a little smaller size.”

The decision tree ends in only three places: follow forced hedge, A+ spring / upthrust, or stay flat. There is no branch for “feels like there should be a trade” — that branch is the failure mode stats already reject and emotion still wants to open.

8.2 Quick card vs playbook numbers

Number you remember	Emotional failure mode	2nd-level correction
OR≈204 (≈57% day range), no direction	FOMO chase the open	Stay flat; draw range + two walls
09:30≈88 pts / 2112 contracts; follow 68 / fade 65	Impatience follows the wide bar	Event bar; only shrink size
Spring +0.17R PF1.44 vs TORB −0.08R	Treat break as trend	Wait for fail → upthrust / spring
Morning ≈317 (≈85%); PM break AMH/AML ≈34/35%, expectancy ≈0	Greed chases PM breaks	Magnet thinking; do not assume break = follow
1.33 SR rarely tagged	Targets stretch forever	Targets hug AMH / AML / walls

9. What not to do

- Chase the first jump / first impulsive open bar (stats have no edge + emotion is the bait).
- Fade while bull / bear CBBC slaughter is still running (mechanically the issuer is still delivering one-way flow).
- Treat “I feel scared / I feel like chasing” as a standalone signal — emotion only locates the counterparty; it does not alone authorize entry.
- Mark more than two morning battlefields; average outside invalidation; or invent a third script mid-session.
- Use 1.33 SR or “PM must break AMH / AML” as a default target (break odds ~one-third and expectancy ≈0).

Study notes 2026-09-06 • Based on teaching dialogue + existing ~182-day tape stat anchors • Not live-trading advice • EN edition 2026-09-08 for Gary Leung • MHI 1m TV+HB • Psychology explains why checklists fail; stats lock where a trade is allowed